

Is My Insurance Plan an Unregistered Tax Shelter? (And If So ... So What?)

Immediate Financing Arrangements (IFAs) have been aggressively marketed to high-net-worth individuals as a way to fund permanent life insurance. The pitch usually involves paying a large premium, immediately borrowing the funds back to replenish capital, and deducting the loan interest from your income.

While much of the industry is focused on whether these arrangements violate the newly expanded General Anti-Avoidance Rule (GAAR), there is a much more immediate and black-and-white threat. Based on the strict mathematical definitions in the Income Tax Act, your leveraged life insurance policy may actually be an **unregistered tax shelter**.

The Math: How Could a Life Policy Become a Tax Shelter?

The Canada Revenue Agency (CRA) does not rely on subjective labels to define a tax shelter; they use a strict calculation. Under Subsection 237.1(1) of the Income Tax Act, an arrangement is legally a tax shelter if "it is reasonable to expect that within the first four years, the buyer will have tax losses, deductions, or credits that equal or exceed the 'net cost' of the original investment".

Here is how that calculation could expose a typical IFA:

1. **The Deductions:** Promoters claim you can deduct the interest on a loan collateralized by your life insurance policy, plus a portion of the annual premium.
2. **The Net Cost & Limited-Recourse Debt:** The CRA requires your "net cost" to be reduced by any "limited-recourse amounts." Because IFAs are typically financed and secured by the policy itself, the debt could constitute a limited-recourse obligation.
3. **The Result:** The borrowing could shrink the legally recognized "cost" of your policy, and the deductions you claim could easily exceed that cost, meaning the strategy could meet the definition of a tax shelter as early as Year 1. In some cases, the net cost is explicitly designed to be \$0 by collateralizing and borrowing the ongoing interest. In such a scenario, your "net" cost is effectively \$0 and claiming even \$1 in credits would qualify the plan as a tax shelter.

The Consequences of an Unregistered Tax Shelter

By law, a promoter must register a tax shelter with the CRA and obtain a Tax Shelter Identification Number (TS Number) before selling it. To our knowledge, most IFAs have not been registered.

If the CRA decides to actively audit these highly collateralized insurance plans, and your policy is deemed an unregistered tax shelter, the fallout would be severe:

Armstrong

— Financial Services —

- **Immediate Denial of Tax Benefits:** The CRA can automatically disallow all interest deductions or premium credits claimed through the scheme. The CRA explicitly states that without a TS Number, no person may claim any deduction.
- **Loss of Actual Cash Investment:** In some cases, your actual out-of-pocket cash investment into the policy may be deemed non-deductible if the CRA determines its primary purpose was tax loss acquisition.
- **Mandatory Reassessments & Interest:** The CRA can reassess past tax returns to recoup the avoided tax, compounding it with heavy arrears interest. Failure to report a reportable transaction can give the CRA an unlimited window to reassess.
- **Severe Penalties for Participants:** You may face civil penalties of up to 50% of the taxes payable after reassessment if found to have knowingly participated in an abusive scheme.
- **Crushing Third-Party Fines:** Promoters and advisors could face a 25% penalty on the total consideration received. Additionally, under Section 163.2, accountants and tax planners are exposed to significant third-party civil penalties for demonstrating "indifference" or for assisting in the preparation of false statements.

What Can You Do?

If you suspect your life insurance arrangement is an unregistered tax shelter, you should act proactively before the CRA initiates an audit.

Run the Math: Work with an independent advisor to calculate the true "net cost" of your policy against the promised deductions in the first four years. If the deductions exceed the net cost, you are likely in tax shelter territory.

Ask for the TS Number: Contact the promoter or broker who sold you the policy and request the Tax Shelter Identification Number. If they cannot provide one, your tax claims can be structurally invalid.

Seek Independent Tax Advice: Do not rely only on the promoter who sold you the plan to assess its legality. Consult a qualified, reputable tax professional who has no financial connection to the policy or its outcome.

Consider the Voluntary Disclosures Program (VDP): If you and your independent advisor determine you have participated in an unregistered tax shelter, you should strongly consider applying for relief through the CRA's Voluntary Disclosures Program. If you come forward *before* the CRA contacts you or initiates an audit, the VDP can offer relief from prosecution and potentially reduce the massive penalties and interest you would otherwise face.

Armstrong

— Financial Services —

Navigating the complex landscape of Life Insurance products requires specialized technical expertise. Our firm has the tools and experience to stress-test these complex arrangements. If you are an advisor looking for an extra set of eyes on an existing or proposed plan, please feel free to reach out.

David Kakon

Direct: (514) 574-0233

David@ArmstrongLife.com

<https://ArmstrongLife.com>

Technical Appendix:

For professionals reviewing the structural integrity of these arrangements, the mathematical transition to a tax shelter is triggered by the following legal chain:

ITA Section 237.1(1): The "Net Cost" of the investment must be reduced by all "prescribed benefits."

ITA Section 143.2(7): Defines the financing as a "limited-recourse amount" because the arrangement lacks a bona fide written agreement requiring the principal to be fully repaid within 10 years.

ITR Regulation 3100(3): Specifically, "prescribes" that any limited-recourse amount defined under Section 143.2 is legally classified as a "prescribed benefit."

CRA Guidance on Tax Shelters: The CRA explicitly confirms this mathematical test on their official website, stating that an arrangement is a tax shelter if, based on the representations made, the deductions within the first four years equal or exceed the net cost. (Link: [Canada.ca > Taxes > Income tax > Tax shelters](https://www.cra-arc.gc.ca/taxation/individuals/other/tax-shelters/))

Disclaimer: This article, including any mathematical examples, case studies, and interpretations of the Income Tax Act, is provided for educational and informational purposes only and represents the personal opinion of the author. It does not constitute legal, tax, accounting, or financial advice. The application of tax shelter definitions, the General Anti-Avoidance Rule (GAAR), and Canada Revenue Agency (CRA) enforcement policies to Immediate Financing Arrangements (IFAs) is highly complex and depends heavily on the specific facts, documentation, and structure of each individual case. Tax laws, regulations, and CRA administrative positions are dynamic and subject to change, potentially retroactively. Readers, including professional advisors, should not act or rely upon any information contained herein without first seeking independent, qualified tax and legal counsel tailored to their specific circumstances. The author assumes no liability for any errors or omissions, nor for any assessments, penalties, or financial damages arising from actions taken or not taken in reliance on the contents of this article. Reviewing this article does not establish an advisor-client relationship, nor is any offer to review policies intended to solicit or infringe upon any existing relationships.
